Theory of supply

1.3.2.2 The market · Unit 1 · Mr. Akram — Akademy

Supply is the quantity suppliers are willing to offer at a given price. The supply curve slopes upward — higher prices mean higher potential profit, so firms supply more. Own-price change = movement along; non-price factor = shift.

Non-price factors that shift supply

- **Costs of production** — higher input costs reduce supply (shift left); cheaper inputs raise it (right).
- **New technology** — raises efficiency, lowers unit cost, increases supply.
- **Indirect taxes** — (VAT, customs duty) raise cost, reducing supply.
- **Subsidies** — government payments lower cost, increasing supply; withdrawing them reduces supply.
- **External shocks** — COVID, poor weather, disasters, conflict can sharply cut supply.